CB Monthly Update - [TH]

Feb 2025

CB Monthly Meeting Agenda as of Feb’25

- **Overall Updates**
  - CB OKR
  - CB Topline & P&L
  - CB Competitor Intelligence
- **Commercial Updates**
  - [For Update] SLS Performance (Reg CB-Faye)
  - [For Update] SCS Performance (CN SCS-Russell Yang)
  - [For Update] Lovito Performance (LVT-Vega Song)
  - [For Update] KRCB Performance (THCB-Jane)
- **For Updates**
  - [For Discussion] THCB SBS ADO Target Setting Discussion (THCB-Jack)
  - [For Discussion] CNCB SLS CC Situation Discussion (CN SLS-Anny)
  - [For Discussion] Regional SSP update (TH Local BI)
  - [For Discussion] CN-CNLS KAM Price Comp KPI Setting Alignment (Reg CB- Ray)
  - [For Update] Counter Taobao Update (Reg SIP-Nicholas)

Topic 1: Overall CB budget/ FP&A update

THCB OKR - ADO and ADG slightly drop from target mainly from CNY holiday cover peakday and mid month period

Data as of 21 Feb'25

Market	CB OKR	Jan-25 Actual	Feb-25 Actual	Target Target	MTD Actual vs. Target%	Feb vs Jan MoM
TH	CB ADG as % of SHP	9.3%	8.1%	9.2%	87.5%	-6.8%
	CB ADO as % of SHP	15.0%	13.7%	14.2%	96.2%	-9.9%
	CB ADG share in SEA+TW (TTS + LZD)	46.1%	monthly update	52.2%	-	5.7%
	CB EBITDA as % CB GMV	0.1%	-1.8%	-1.1%	163.1%	-96.3%
	LS ADG as % SEA+TW CB	8.4%	7.0%	6.7%	104.7%	11.1%
	Video ADG as % SEA+TW CB	5.4%	6.2%	5.3%	116.1%	-65.7%
	LS ADO as % SEA+TW CB	7.4%	6.5%	6.0%	108.3%	
	Video ADO as % SEA+TW CB	6.2%	6.5%	5.8%	111.5%	
	CB average BWT	6.06	7.25	6.77	107.2%	13.8%
	CPO for SEA+TW	1.02	1.02	1.04	98.7%	0.0%
	Same Day shipout %	77.7%	77.7%	73.1%	106.4%	-18.7%
	XDD + NDD coverage %	12.2%	13.0%	13.0%	100.1%	-3.6%
	Ship from Local ADO% of all CB and CN Managed CNLS Seller	42.6%	45.2%	42.4%	106.7%	10.4%
	% net price competitiveness vs TTS	63.9%	monthly update	40.0%	-	-
	% Bidding winning SKU ADO Coverage	6.0%	7.5%	9.9%	75.3%	-
	CB SCS + Lovito ADO% of CB ADO	14.1%	13.8%	9.2%	150.4%	-60.5%
	CB SCS Shop P&L	$(576,370.54)	$(368,171.45)	$(633,929.68)	172.2%	-86.2%
	Lovito Shop P&L	$(108,161.06)	$(124,301.15)	$(182,320.22)	146.7%	179.3%

Key Highlight:

- **Topline Growth:** Overall ADO slight drop from slower CNY recovery along with seasonal assortments i.e. winter clothes from fashion. %ADG behind target mainly from growth of plat. reflecting a lower contribution of CB to plat. In addition, strong growth from OS-MS local sellers driven by e-tax policy contributed to platform growth, leading to a decline in CB contribution. **Expected ADO run rate to land at 97% and ADGMV 96% to Feb'25 target.**
- **LS/VDO:** Shopee Choice and Lovito are the main drivers of both ADO and ADG contributing over 14% ADO and 6.7% ADG. For MP sellers, the top 3 contributors are Mossdoom (+31% MoM ADG), Goojoodoq (23% MoM ADG), and Papafeel (+12.4% MoM ADG) mainly from the view boost initiative.

Notes: (1) ADG Share 100% - is not update yet. Data will be updated on monthly basis.

THCB P&L - PRM show a slightly higher than target mainly contributed from plat. higher PRM injection in Feb reflecting overall PC2 to land at -0.7%.

Data as of 21 Feb'25

Current month	Feb 2025	Jan 2025	Feb 2025				Mar 2025
TH CB Performance		Actual	Projection	Target	RR	MoM	Target
Overall CB	CB Gross ADO	451,731	430,573	443,050	97%	▼5%	432,939
	CB ADO %	15.0%	13.9%	14.2%	98%	▼1%	14.4%
	CB ADGMV ($)	3,435,135	3,400,496	3,528,662	96%	▼1%	3,433,999
	CB ADGMV (%)	9.3%	8.5%	9.2%	92%	▼9%	9.2%
	ABS ($)	7.60	7.90	7.96	99%	▲4%	7.93
MP P&L	Revenue ($)	13,914,148	12,373,395	12,267,345	101%	▼11%	15,656,605
	PRM ($)	12,679,577	11,907,911	10,917,631	109%	▼6%	12,709,228
	PC2 ($)	-373,416	-635,879	-23,641	2690%	▼70%	-319,667
	PC2 %	-0.4%	-0.7%	0.0%	2791%	▼0%	-0.3%
	Take Rate %	13.1%	13.0%	12.4%	100%	▼0%	14.7%
	CIR %	11.9%	12.5%	11.0%	113%	▲1%	11.9%
CBWH P&L	WH ADO	28,746	25,804	24,533	105%	▼10%	31,176
	WH Revenue ($)	209,949	173,933	174,612	100%	▼17%	239,340
	WH Cost ($)	-253,026	-255,617	-203,397	126%	▼1%	-336,606
	WH P&L ($)	-43,077	-81,684	-28,785	384%	▼90%	-97,266
	WH P&L (%)	-20.52%	-46.96%	-16.48%	-30%	▼26%	-40.64%
Lovito	Lovito ADO	5,756	4,670	4,950	94%	▼19%	7,404
	Lovito ADGMV ($)	39,254	31,671	35,192	90%	▼19%	52,722
	Lovito Standalone P&L ($)	-108,161	-188,522	-182,320	-3%	▼74%	-108,288
SCS	SCS ADO	58,047	52,782	35,725	148%	▼9%	53,159
	SCS ADGMV ($)	173,489	146,638	96,457	152%	▼15%	208,046
	SCS Standalone P&L ($)	-576,371	-583,889	-633,930	108%	▼1%	-47,735
SLS	SLS P&L ($)	2,635,413	2,582,433	2,810,646	92%	▼2%	2,933,134
	SLS Outbound Orders	8,066,834	7,786,952	8,334,207	93%	▼3%	9,294,122
	SLS Profit/Outbound Order	$0.33	$0.33	$0.34	98%	▲2%	$0.32

Key Highlight:

- **Overall CB:**
  - Gross ADO slightly lower than target mainly from CNY holiday which saw the same trend with LY impact on CNY around -10% ADO and -9% in ADG in Feb'24.
- **CBMP P&L:**
  - Revenue slightly over target mainly from CB OS sellers while PRM show a slightly higher than target mainly contributed from plat. Inject higher PRM in Feb reflecting overall PC2 to land at -0.7%.

THCB Competitors - THCB SHP/TTS ADO gap in Jan slightly increase +0.01 vs. Dec landed at 0.9x, while TTS continue to provide higher CIR

THCB SHP/TTS Overview

ADO		Jun - 24	Jul - 24	Aug - 24	Sep - 24	Oct - 24	Nov - 24	Dec - 24	Jan - 25
CB ADO	SHP CB ADO	458,871	415,850	418,202	436,831	433,707	462,753	454,051	451,731
	TTS CB ADO	315,913	325,795	342,131	378,233	425,418	484,223	508,397	501,371
	SHP/TTS CB Gap	1.45x	1.27x	1.22x	1.15x	1.02x	0.96x	1 0.89x	0.90x
	SHP/TTS Gap	1.03x	0.97x	0.93x	0.88x	0.82x	0.82x	0.83x	0.79x
CB ADO %	SHP CB Cont. %	16.15%	14.82%	15.11%	15.18%	15.21%	15.46%	14.80%	14.99%
	TTS CB Cont. %	11.43%	11.25%	12.36%	12.42%	13.87%	15.36%	15.44%	15.22%

ADGMV		Jun - 24	Jul - 24	Aug - 24	Sep - 24	Oct - 24	Nov - 24	Dec - 24	Jan - 25
CB ADGMV	SHP CB ADGMV	2,982,271	3,088,532	3,359,744	3,703,761	3,693,760	3,924,558	3,665,921	3,435,135
	TTS CB ADGMV	1,471,555	1,538,921	1,709,771	2,035,549	2,377,910	2,586,528	2,709,429	2,607,780
	SHP/TTS CB Gap	2.03x	2.01x	1.97x	1.82x	1.55x	1.52x	1 1.35x	1.32x
	SHP/TTS Gap	1.53x	1.50x	1.42x	1.40x	1.29x	1.32x	1.34x	1.34x
CB ADGMV %	SHP CB Cont. %	10.14%	10.47%	11.14%	10.78%	10.51%	10.87%	9.90%	9.33%
	TTS CB Cont. %	7.64%	7.83%	8.78%	9.16%	9.57%	10.46%	10.71%	10.29%

Key Highlight:

1 Overall SHP/TTS CB ADO slightly increased to 0.90x in Jan'25 while ADG gap decreased by 0.03x, landed at 1.32x

- ADG gap decreased mainly from top mall sellers (in P.7)
- On PRM aspect: TT CB provides higher CIR, max 20%, and additional resources such as live ads, dedicated live session, and live boosts to top mall sellers eg. Wosado, Pink flash and Lenovo

Source: CNCB CI_TikTok Shop Data Tracking

TH BI SOB (OS Shop Tracking) - SHP/TTS SOB Contribution - Overall SHP ADG gap vs. TTS stands at 3K, attributed to big mall sellers continue to lose share

	SHP Winning	SHP Losing	Total
# Sellers	50	1 65	115
- Cont. to mapped data%	43%	57%	100%
SHP ADG	357,866	149,128	506,994
- Cont. to mapped data%	71%	29%	100%
- Cont. to SHP CB%	10%	4%	15%
- Cont. to SHP CB Mall%	30%	12%	42%
TTS ADG	157,215	352,819	510,034
- Cont. to mapped data%	31%	69%	100%
- Cont. to TTS CB%	6%	14%	20%
SHP ADG Gap (TTS-SHP)	200,651	1A -203,691	2 **-3,040**
SHP/TTS SOB	2.3x	1 0.4x	**1.0x**

Source: SHP/TT Mall CNLS and CNCB based on SHP and TTS CB sellable CB Mall

Key Insight:

1 Based on local BI mapping, 65 of total 115 SHP mall sellable sellers SHP/TTS gap are widened, SHP/TTS SOB stand at 0.4X, contributing 29% to SHP ADG and 69% to TTS ADG. Majority of the sellers are top CB mall sellers.

2 ADG gap is at 3K USD, primarily contributed by top mall sellers, due to enhanced PRM and visibility support from TTS (in P.9)

a. One of the biggest contributors to SHP winning group is Popmart, accounting for $246K, contributes to 69% of SHP winning ADG

1A Top 20 CB Brands with High SOB Gap - TTS/SHP gap is widening in SHP losing group, top contributors combined loss at 84% of overall loss. Aiming to improve SOB growth through Counter TTS program

Shop name	Cluster	TTS/SHP ADG Nov'24	TTS/SHP ADG Dec'24	TTS/SHP ADG Jan'25	Jan'25 ADG Gap (TTS-SHP)
Papafeel	FMCG	6.9x	7.1x	4.2x	33,795
Botare	Lifestyle	3.3x	2.5x	2.7x	20,777
Wosado	FMCG	1.9x	2.0x	2.7x	19,084
Mossdoom	Fashion	2.5x	2.3x	1.9x	15,764
Bostanten	Fashion	2.5x	1.7x	2.3x	13,676
Dr Leo	FMCG	2.4x	1.8x	3.0x	9,418
Sheeureka	FMCG	45.1x	30.8x	35.0x	7,821
Goojodoq	EL	2.1x	1.6x	1.2x	5,290
Bagsmart	Fashion	4.2x	4.4x	3.0x	5,140
Zanzeaflagshipstore	Fashion	4.4x	4.6x	4.8x	5,047
Antbox	LIFE	2.0x	1.9x	2.2x	4,940
Kilala	FMCG	5.3x	3.8x	2.9x	4,811
Poseehome	Fashion	3.1x	2.1x	1.6x	4,399
Luobr.official.store	EL	0.4x	2.5x	6.5x	3,850
Lampurepaper2	Lifestyle	5.2x	4.0x	2.6x	3,842
Realfit.official	EL	1.5x	1.5x	3.6x	3,001
Felinwel	FMCG	5.0x	4.0x	5.2x	2,924
Enchen_official_th	FMCG	25.6x	13.7x	5.3x	2,824
Camelcrownoutdoor	Fashion	1.4x	1.6x	1.9x	2,551
Kamassi	Fashion	42.0x	33.9x	33.8x	2,458
Top 20		**3.0x**	**2.5x**	**2.5x**	1 **171,410**
Others					**32,281**
Total					**203,691**

Source: SHP/TT Mall CNLS and CNCB

Key Highlight:

1 The primary loss of TTS/SHP ADG SOB stems from top mall sellers, with the top 20 contributors accounting for **$171K ADG gap in Jan'25**, contributing **84% to SHP CB loss against TTS**

Top Mall Brands

FMCG (BP)

LIFE (HL)

FMCG (BP)

FASH (BA)

FASH (BA)

2 Strategic SHP SOB growth through Counter TTS Program - Review counter TTS schemes, strengthening seller commitment and expanding ADG coverage in seller pool

Seller Incentives	SHP	TTS
Program coverage		
Shop Criteria	- Ads & AMS spending - Seller investment TR%	/
# of Shop	74	/
CB ADG	155,108	/
% ADG Coverage to CB	1 5%	/
TTS ADG	515,295	/
% TTS ADG Coverage	26%	/
PRM support		
- Item rebate	2 Max 8%	Max 20%
- Commission discount	N	Y (2% Discount)
- Free ads credit	Y	Y
- Live ads credit	N	Y
Social engagement - Livestream		
- Super tier KOL shared livestream	N	Y
- Live boost	Y (Limited resource)	Y
Social engagement - VDO		
- VDO Boost	N	Y
Free Campaign Visibility		
- Campaign visibility	Y	Y
Paid Campaign visibilities		
- CFS	N	Y
- Campaign package (DD, MM, Clusters)	N	Y
- KOL Package	N	Y
- L2 banner	N	Y
Seller Commitment	**SHP**	**TTS**
- ADO/ADG targets	Y	Y
- Livestream hours commitment	Y	Y
- Seller Investment	Y	Y

Key Insight:

1. Current coverage is not enough since it only contributes 5% of CB ADG
2. Considering TTS focus, they are highly likely to concentrate on top Mall sellers and direct their PRM support towards those top sellers
   - When comparing SHP CB PRM support, SHP provides less support on PRM at max of 8% CIR while TTS offers at max 20% in item rebate

Key Actions:

1. **Expand Top Sellers Pool:** Increase ADG coverage to capture Top sellers focusing on Mall sellers. Collaborate with regional and local BI to cover more potential sellers
2. **Focus on Top Tier Sellers Enhancement:** Enhance social engagement with campaign visibility support for program sellers in exchange for higher seller commitment (including committed live hours and number of videos uploaded)

THCB Competitors - THCB SHP/Laz ADO gap in Jan increased from Dec with 2.28 ADO multiplier for LZD CB from the absence of DDAY campaign and less PRM from LZD

THCB SHP/Laz Overview

ADO		Jun - 24	Jul - 24	Aug - 24	Sep - 24	Oct - 24	Nov - 24	Dec - 24	Jan - 25
CB ADO	SHP CB ADO	458,871	415,850	418,202	436,831	433,707	462,753	454,051	451,731
	LZD CB ADO	229,361	201,506	191,789	194,999	216,190	241,209	241,638	198,178
	SHP/LZD CB Gap	2.00	2.06	2.18	2.24	2.01	1.92	1.88	2.28
	SHP/LZD Gap	2.47	2.61	2.76	2.68	2.76	2.46	2.78	3.09
CB ADO %	SHP CB Cont. %	16.15%	14.82%	15.11%	15.18%	15.21%	15.46%	14.80%	14.99%
	LZD CB Cont. %	19.95%	18.77%	19.11%	19.25%	20.96%	21.00%	20.68%	19.22%

ADGMV		Jun - 24	Jul - 24	Aug - 24	Sep - 24	Oct - 24	Nov - 24	Dec - 24	Jan - 25
CB ADGMV	SHP CB ADGMV	2,982,271	3,088,532	3,359,744	3,703,761	3,693,760	3,924,558	3,665,921	3,435,135
	LZD CB ADGMV	1,433,507	1,347,875	1,292,106	1,419,705	1,522,823	1,688,460	1,570,092	1,478,870
	SHP/LZD CB Gap	2.27	2.40	2.59	2.70	2.39	2.27	2.33	2.32
	SHP/LZD Gap	2.10	2.26	2.39	2.43	2.45	2.23	2.56	2.89
CB ADGMV %	SHP CB Cont. %	10.14%	10.47%	11.14%	10.78%	10.51%	10.87%	9.90%	9.33%
	LZD CB Cont. %	9.98%	10.04%	10.30%	10.22%	11.09%	11.05%	10.75%	11.50%

Key Highlight:

- Jan ADO vs LZD increased to 3.09 mainly due to the absence of D-Day campaign. Even though they launched New Year Grand Sale, voucher mechanics were less aggressive than previous D-Day. This approach was also applied to the LZD CB, resulting in a wider gap with the 2.28 ADO multiplier.

Source: Lazada volume from CBMI

Topic 2a: Commercial - SLS

Faye

SLS - Jan'25 SLS Actual P&L at 2.6mil, lower than Dec'24 mainly due to lower order; FY25 P&L at 34mil, but not accounted for tax loss ~$12mil

	unit	Actual Dec 24	Actual Jan 25	Projection Feb 25	Projection Mar 25	Projection Apr 25	Projection May 25	Projection Jun 25	Projection Jul 25	Projection Aug 25	Projection Sep 25	Projection Oct 25	Projection Nov 25	Projection Dec 25
SLS Total Order	#	9,150,752	8,066,834	7,786,952	8,258,611	7,938,110	8,610,768	8,478,529	8,829,992	8,805,807	8,575,278	8,848,431	8,566,435	8,727,947
SLS Revenue	$	$12,815,359	$10,876,863	$10,712,210	$11,593,597	$10,976,193	$11,619,819	$11,799,537	$12,303,361	$12,219,455	$11,868,155	$12,141,423	$11,820,241	$11,985,191
SLS Cost	$	$9,557,621	$8,243,612	$8,129,776	$8,460,895	$8,173,584	$8,719,154	$8,870,280	$9,244,237	$9,206,681	$9,025,970	$9,263,206	$9,155,518	$9,399,397
- Log Cost	$	$8,517,150	$7,268,060	$7,144,002	$7,454,449	$7,200,377	$7,683,083	$7,838,025	$8,214,673	$8,173,225	$7,997,755	$8,227,262	$8,141,221	$8,378,692
- staff cost	$	$92,522	$97,425	$100,087	$101,152	$102,217	$103,281	$104,346	$104,346	$104,346	$104,346	$104,346	$104,346	$104,346
- WH cost + G&A	$	$947,949	$878,127	$885,687	$905,294	$870,990	$932,790	$927,909	$925,218	$929,110	$923,869	$931,598	$909,951	$916,359
- WH cost	$	$628,905	$563,467	$637,071	$639,675	$629,384	$671,169	$660,194	$657,709	$663,365	$652,830	$657,845	$626,616	$631,148
- 3P WH Cost	$	$246,481	$242,096	$176,053	$193,056	$169,042	$189,057	$195,153	$194,946	$193,182	$198,476	$201,190	$210,773	$212,648
- SLS Server Hosting Cost	$	$1,366	$1,791	$1,791	$1,791	$1,791	$1,791	$1,791	$1,791	$1,791	$1,791	$1,791	$1,791	$1,791
- G&A/ Others Cost	$	$71,197	$70,772	$70,772	$70,772	$70,772	$70,772	$70,772	$70,772	$70,772	$70,772	$70,772	$70,772	$70,772
SLS P&L	$	**$3,257,738**	**$2,633,251**	**$2,582,434**	**$3,132,702**	**$2,802,609**	**$2,900,665**	**$2,929,257**	**$3,059,124**	**$3,012,774**	**$2,842,185**	**$2,878,217**	**$2,664,723**	**$2,585,794**
CPO	$	$1.04	$1.02	$1.04	$1.02	$1.03	$1.01	$1.05	$1.05	$1.05	$1.05	$1.05	$1.07	$1.08

** To note starting Oct 24, aligned with Sea Fin and Reg FPA, we have excluded TH tax cost from actual reporting*

SLS Cost (% of Rev)	%	74.6%	75.8%	75.9%	73.0%	74.5%	75.0%	75.2%	75.1%	75.3%	76.1%	76.3%	77.5%	78.4%
- Log Cost	%	66.5%	66.8%	66.7%	64.3%	65.6%	66.1%	66.4%	66.8%	66.9%	67.4%	67.8%	68.9%	69.9%
- staff cost	%	0.7%	0.9%	0.9%	0.9%	0.9%	0.9%	0.9%	0.8%	0.9%	0.9%	0.9%	0.9%	0.9%
- WH cost + G&A	%	7.4%	8.1%	8.3%	7.8%	7.9%	8.0%	7.9%	7.5%	7.6%	7.8%	7.7%	7.7%	7.6%
SLS P&L (% of Rev)	%	25.4%	24.2%	24.1%	27.0%	25.5%	25.0%	24.8%	24.9%	24.7%	23.9%	23.7%	22.5%	21.6%

SLS Total Order	$		-1,083,918	-279,882	471,659	-320,501	672,658	-132,239	351,463	-24,185	-230,529	273,153	-281,996	161,512
SLS Revenue	$		-$1,938,496	-$164,653	$881,387	-$617,404	$643,626	$179,718	$503,824	-$83,906	-$351,300	$273,268	-$321,182	$164,950
SLS Cost	$		-$1,314,009	-$113,836	$331,119	-$287,311	$545,570	$151,126	$373,957	-$37,556	-$180,711	$237,236	-$107,688	$243,879

Key Highlights:

1 **Jan 25 vs Dec 24:** P&L lower by 19% mainly due to
- Order drop by 12%
- PPO drop by 7% mainly due to RPO drop from higher choice% and channel mix (lower volume share (-2%) of standard channel (which is more profitable) and higher NNWH volume share (+2%))

2 **FY25 highlights**:
- This budget has factored in SPX rate reduction starting in Mar'25
- Current SLS P&L has not accounted for tax loss, FY~12mil loss that needs to factor in per seafin request

  >> to discussed in CNCB SLS CC Situation Discussion

Topic 2b: Commercial - SCS + LVT

Topline & PnL - SCS: ADO/ADG exceeded target but dropped MoM due to proactively improving UE; Shop P&L exceeded target and improved significantly MoM; LFF ADO % kept flat

TH CB SCS	Jan FY25	Feb FY25			
Metrics	Actual	Projection	Budget Target	Target RR	MoM
ADO	58,047	52,782	35,725	+148%	-9.1%
ADGMV	$173,561	$155,708	$96,458	1 +161%	-10.3%
ABS	$2.99	$2.95	$2.70	+109%	-1.3%
Seller PC3	**$89,010**	**$182,619**	**$132,582**	**+$50,037**	**+$93,609**
PC3 / Net order	*$0.06*	*$0.14*	*$0.14*	*+$0.00*	*+$0.08*
Shop P&L	**-$585,381**	**-$423,324**	**-$633,930**	**+$210,606**	**+$162,057**
Shop P&L / Net order	*-$0.37*	*-$0.33*	*-$0.73*	2 *+$0.40*	*+$0.04*

TH CB SCS LFF	Feb MTD as of 02.18	Feb target	Target RR	Jan act.	MoM
LFF ADO TH+NNWH 3	12,020	7,860	**+153%**	13,395	**-10%**
LFF ADO contribution % to shop	21.6%	22.0%	**-0.4%**	23.1%	**-1.5%**

Key Highlight:

1 **TH CB SCS ADO/ADG exceeded target but MoM dropped by -9~10%, due to:**
- **SCS is still raising price in Feb to improve UE and Seller P&L:** PC3PO improved by +$0.08 MoM, and Shop P&L PO improved by +$0.04 MoM
- **More self-channel optimization initiatives implemented in Feb to counter UE fix:**
  - **Video:** Increased daily video # from ~35 in Jan to ~70 in Feb using AI tool; Improve video quality & CR by optimizing first 3 seconds
  - **Affiliates:** Optimized current affiliate campaign in Feb; Further aligned with TH AMS team to roll out more affiliate campaigns from Mar, including Free Sample Program, Livestream Campaign, Video Post Challenge, etc.

2 **Seller PC3/Shop P&L exceed target and improves significantly MoM**

3 **LFF ADO contribution % to shop kept basically flat MoM:**
- **Slightly drop due to delay in shipping during CNY:** LFF ADO contribution % to shop **has ramped up after Feb 10 (avg. 26.6% from 02/10 to 02/18)**
- **Will continue to invest in LFF to increase LFF ADO contribution % to shop for better BWT:** Aim to reach ~25% in March; BWT is 2~3 days shorter compared to CN WH*

* NNWH BWT ~3.5D vs. CN WH BWT ~6.5D

Topline & PnL - Lovito: Feb Seller PnL MoM -9.8K as we self-rebate on voucher and invest more ads to drive traffic when Platform downtrend; And we will focus on optimizing our PNL on the rest days of FEB

		DEC 24	JAN 25	FEB 25			
	metrics	Actual	Actual	Projection	MoM	Target	RR
TH Lovito	ADO	5969	5756	4,670	1b -19%	4,950	94%
	ADGMV	39395	39256	31671	-19%	35145	90%
	ABS	6.6	6.8	6.8	0%	7.1	96%
	Seller PC3	**106,649**	**63,610**	**53,826**	1a **(9,784)**	**60,028**	**(6,202)**
	Standalone P&L	**(739,373)**	**(108,161)**	**(188,522)**	**(80,361)**	**(182,322)**	**(6,200)**

Key Highlights:

1 **FEB. ADO/ADG/Seller PnL:**

a) Feb Seller PnL MoM -9.8K as we self-rebate more on voucher, and invested more in ads to drive traffic;

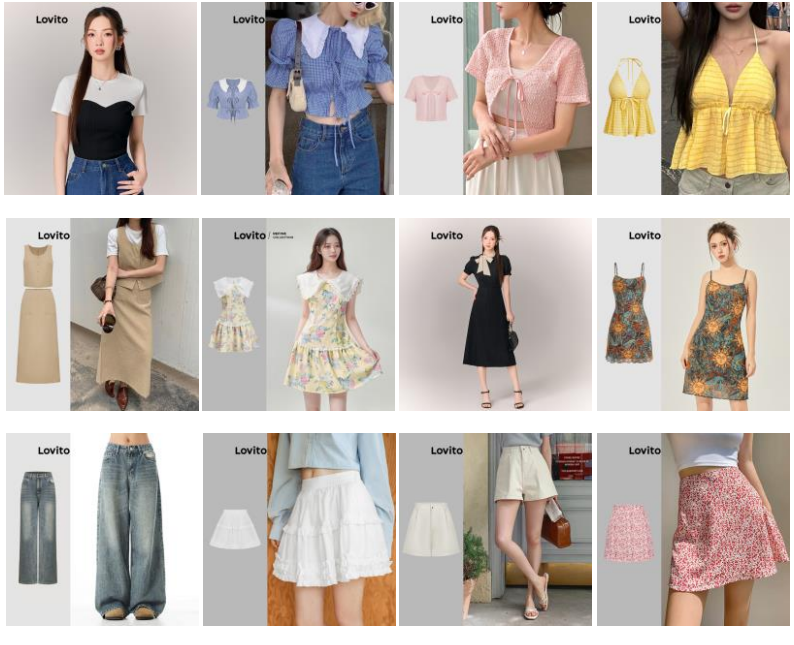
b) ADO and ADGMV will miss target mainly as traffic loss(SR traffic loss and platform downtrend) and platform FSV reduction and OOS which both impacted our CR.

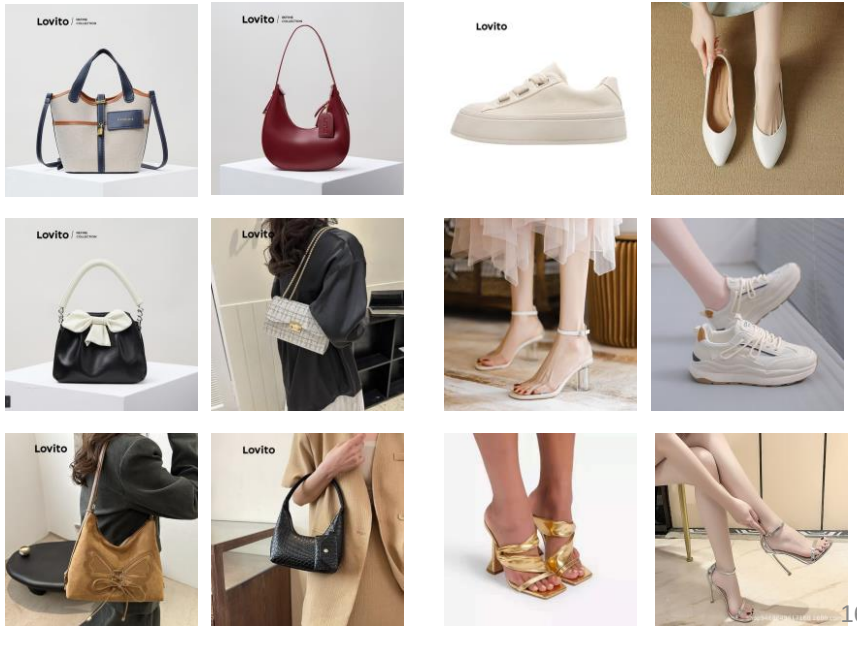
2 **Next step:** We will focus on **optimizing our PNL by cutting self-rebate on voucher and channel optimization**, and estimate that ADO will miss 280 orders in Feb (4670 VS target of 4950), and hope that CB can support us with ads free credit for new product testing and PRM support.

Lovito Assortment | Releases for Feb 2025

	Women Apparel				Women Bags			Women Shoes	
Highlights	More trendy women clothes for Valentine's Day and spring/summer.				Seasonal needs and Valentine's Day			Seasonal needs and Valentine's Day	
Listing#	2,000 / month				100 / month			100 / month	
Key Category	Tops 50%	Dress/Sets 25%	Bottom/Denim 25%		Crossbody & Shoulder Bags 60%	Tote Bags 30%	Backpacks & Wallets 10%	Flat Sandals & Flip Flops 30%	Flats/ Sneakers/Heels/Wedges 70%
Key Style	Casual 40%	Cute 25%	Elegant 20%	boho 15%	Casual & Elegant			Casual & Elegant	

Key Items





[Back up] Lovito Resource Package - BAU resources are already disbursed to Lovito since Jan'25, currently working on assortment push PRM and Reg SSP

	Resource Type	Objective	Target/Focus	Status
1	**BAU Resource** - CFS: 400 slots per month - Free KOL Livestream: 30 sessions (Subject to slot availability) - Livestream View Boost: 5K on BAU, 10K on DDAYs - Live Streaming & VDO Voucher: Fash&Beauty vouchers (up to 25%, 30% discount) - CB Own Campaign Visibility: 1 time per quarter - KOL AMS Campaign Visibility: 1 post each on Line OA, FB and Campaign Banner - AMS with Top KOL: Connecting LVT with top Fash KOLs	BAU exposure and platform-wide support	Lovito Topline Target	Aligned with Local Team (As of Feb)
2	**Assortment Push** - PRM support (Paid Ads)	To push new assortment from Lovito (95% focusing on Trendy, 5% on Premium) for more exposure	Lovito New Assortment Performance	Pending Lovito team on Data (ETA: March)
3	**Reg SSP** - Commission Cashback - Credit Bonus	Strategically grow Lovito through SSP commitment	NMV, Investment and Price Competitiveness targets	Pending Local BI (ETA: March)

Topic 2c: Commercial - KRCB

Commercial - KRCB: ADO and ADG exceed target at 125% and 131% to target, mainly driven by top seller from fashion and FMCG cluster.

KRCB MTD	as of 18 Feb		
Metric	**Sub-Metric**	**TH**	**KR All market**
ADO	ADO (MTD Actual)	1 5,546	56,833
	ADO (Monthly Target	4,421	48,532
	RR vs. Target (%)	125%	117%
	M-1 ADO (M-1 MTD Actual)	5,140	55,069
	ADO diff. vs. MTD Actual	▲ 406	▲ 1,764
	ADO MoM (%)	8%	3%
ADGMV (USD)	ADG (MTD Actual)	2 118,426	1,107,734
	ADG (Monthly Target	90,189	932,291
	RR vs. Target (%)	131%	119%
	M-1 ADGMV (M-1 MTD Actual)	105,037	1,036,571
	ADGMV diff. vs. MTD Actual	▲ 13,389	▲ 71,163
	ADGMV MoM (%)	13%	7%
ABS	ABS (MTD Actual)	21.4	19.5
	ABS (Monthly Target)	20.4	19.2
	RR vs. Target (%)	105%	101%
	M-1 ABS (M-1 MTD Actual)	20.4	18.8
	ABS diff. vs. MTD Actual	▲ 1	▲ 1
	ABS MoM (%)	5%	4%

KRCB Target	Jun '25	Jul '25	Aug '25	Sep '25	Oct '25	Nov '25	Dec '25
ADO	1 6,536	6,320	6,436	7,513	7,299	9,076	1 9,021
- cont to THCB	*1.4%*	*1.3%*	*1.3%*	*1.5%*	*1.5%*	*1.8%*	*1.8%*
FBS ADO	1,331	1,569	1,765	1,893	1,950	2,250	2,386
3PF ADO	468	464	464	497	505	565	573
ADG	**141,227**	**136,560**	**139,066**	**162,338**	**157,714**	**196,110**	**194,922**
- cont to THCB	*3.9%*	*3.7%*	*3.7%*	*4.2%*	*4.1%*	*4.9%*	*4.9%*
FBS ADG	22,228	26,202	29,476	31,613	32,565	37,575	39,846
3PF ADG	18,533	18,374	18,374	19,681	19,998	22,374	22,691
ABS	**21.6**	**21.6**	**21.6**	**21.6**	**21.6**	**21.6**	**21.6**

Key Highlight:

Feb MTD Performance:

1. **ADO achieved 5.5K, 125% to target, +8% MoM,**
   - Jun '25 Target: 6.5K ADO (+18% vs MTD Feb)
   - Dec '25 Target: 9K ADO (+63% vs MTD Feb)
2. **ADG achieved $118K, 131% to target, +13% MoM due to**
   - High performance from top fashion seller (standoilofficial.th) as they do exclusive promotion in Feb, ADO +7.7%, ADG +15.4%
   - Top 5 KR sellers covered 30% ADG

STAND OIL	COSRX	SKINFOOD	d'Alba	TIRTIR
MTD ADG $20K	MTD ADG $5K	MTD ADG $3.8K	MTD ADG $3.6K	MTD ADG $3.4K

KRCB Initiatives Highlights:

- **(On-going) New Seller Package**
  - **Objective:** Aim to strategically develop brands through a long-term commitment, ensuring their sustainable growth.
  - **Target:** Incubate 20 new brands, targeting 590 ADO by Dec '25.
- **(Upcoming) Brand Migration Program**
  - **Objective:** To migrate managed brand sellers who are not in TH market.
- **KR LFF Push**
  - **Feb MTD:** 1K ADO, 19% contribution to KRCB
  - **Target:** LFF ADO 2.9K by Dec '25 (FBS 2.4K ADO and 3PF 573 ADO)

Topic 3: For Updates

THCB SBS ADO Target Setting Discussion

LFF Overall | TH aims to significantly increase fulfillment ADO in order to improve overall buyer wait time, expecting 30% of orders 1 day faster than Tiktok

1P ADO & ADG Actual and Projections

#	Business Line	ADO							ADO % of platform						
		Jan '25	Feb '25	Mar '25	Jun '25	Sep '25	Dec '25	Dec '26	Jan '25	Feb '25	Mar '25	Jun '25	Sep '25	Dec '25	Dec '26
1	SBS	12,563	13,717	16,642	16,723	20,565	21,647	24,526	0.4%	0.4%	0.5%	0.5%	0.6%	0.6%	0.6%
2	Local SCS	7,472	10,715	13,334	39,532	96,802	159,201	183,687	0.2%	0.3%	0.4%	1.2%	3.0%	4.7%	4.8%
3	CB SCS	58,099	53,399	53,178	64,815	75,645	80,370	92,731	1.9%	1.7%	1.7%	2.0%	2.3%	2.4%	2.4%
4	Lovito	5,790	4,815	7,407	8,163	8,439	8,670	9,761	0.2%	0.2%	0.2%	0.3%	0.3%	0.3%	0.3%
1 to 4 = [A]	**Total 1P**	**83,924**	**82,646**	**90,561**	**129,233**	**201,451**	**269,888**	**310,706**	**2.8%**	**2.7%**	**2.9%**	**4.0%**	**6.2%**	**8.0%**	**8.2%**
5	CB SCS Local Fulfilment	2,415	915	5,267	6,706	7,014	7,014	7,897	0.1%	0.0%	0.2%	0.2%	0.2%	0.2%	0.2%
6	Lovito Local Fulfilment	255	107	586	644	666	684	770	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
1 + 2 + 5 + 6 = [B]	**Local Fulfilment for 1P**	**22,705**	**25,454**	**35,829**	**63,605**	**125,047**	**188,546**	**216,880**	**0.8%**	**0.8%**	**1.2%**	**2.0%**	**3.8%**	**5.6%**	**5.7%**
7	FBS for MP Local sellers	11,880	13,062	12,654	39,858	50,023	65,805	471,340	2 0.4%	0.4%	0.4%	1.2%	1.5%	2.0%	2 12.4%
8	CB MP Local Fulfilment	9,329	9,389	12,393	14,304	18,447	21,544	24,384	0.3%	0.3%	0.4%	0.4%	0.6%	0.6%	0.6%
7 + 8 = [C]	**Local Fulfilment for MP**	**21,209**	**22,451**	**25,047**	**54,162**	**68,470**	**87,349**	**495,724**	**0.7%**	**0.7%**	**0.8%**	**1.7%**	**2.1%**	**2.6%**	**13.0%**
[B] + [C]	**Local Fulfilment**	**43,914**	**47,905**	**60,876**	**117,767**	**193,517**	**275,895**	**712,604**	**1.5%**	**1.5%**	**2.0%**	**3.7%**	**5.9%**	**8.2%**	1 **18.7%**
[A] + [C]	**Total Fulfilment**	**105,133**	**105,097**	**115,608**	**183,395**	**269,921**	**357,237**	**806,429**	**3.5%**	**3.4%**	**3.7%**	**5.7%**	**8.2%**	**10.6%**	**21.2%**

Expected Buyer Wait Time

		Platform	[1] Marketplace (Standard)	[2] Marketplace (Express)	[3] Fulfillment
Scale	ADO to platform	100%	78%	3%	18.7%
Cost	True logistics CPO			$1.35	
	Incremental CPO to fulfill				$0.13
Speed - Buyer wait time	Total platform	1.77	1.82		1.12
	- GBKK buyers	1.55	1.44	0.83	0.96
	- UPC buyers	1.90	2.04		1.21
Speed - Delivery day	- Same day	7%			
	- Next day	39%			
	- >=2 days	54%			
Speed - vs competitor	**% Order 1 day faster than Tiktok**	3 **30%**			

Key Highlights:

1. TH fulfillment plan to reach 18.7% to platform in order to improve overall Buyer wait time
2. Local fulfillment expected to significantly increase from the current 0.4% ADO to platform to 12.4% by the end of next year
   - **Pending alignment** on CB SCS and CB MP local fulfillment target
3. With overall speed strategies ,Fulfillment as well as ED initiatives, TH expected 30% of orders to be 1 day faster than TTS

LFF Local Plan | Cost will be the key lever in Phase 1 while the expanded scale will unlock many of the "uplift" levers to enable Phase 2 of scaling while phase 3 focus on making the economic such that it would be irrational not to join FBS

A

Key levers	Value Proposition to sellers	Phase 1	Phase 2	Phase3
		Q1'25	Q2 25 -Q2'26	Q2'26 Onward
Cost	We fulfill cheaper	✔	✔	✔
Platform Policy	Cut-off time is so late that is difficult for sellers to do themselves	-	✔	✔
Uplift from Reliability branding / trust	Users trust "FBS" logo and increase conversion	-	✔	✔
Uplift from lower FE shipping fee	Buyers will pay lower shipping fee as SKUs are generally closer to the buyers	-	✔	✔
Traffic Uplift	Traffic allocation similar to SCS	-	-	✔
Key platform commercial lever prerequisite	Only FBS items can use FSS vouchers	-	-	✔

✔ *Fully Applicable* ✔ *Semi-Applicable*

LFF Local Plan (Cost) | The new rate card will save sellers approximately 8 THB per order, whether they currently use fulfillment services or self-fulfill

Table I : Shopee vs Other fulfillment CPO

		Blended CPO	Saving per order	% Shopee Cheaper
A	Fee without buffer (True cost)			
	Shopee CPO	4.15		
	J&T CPO	12.31	-8.16	-66%
	Welink CPO	13.05	-8.90	-68%
B	Fee with buffer (Proposed rate card)			
	Shopee CPO	5.29		
	J&T CPO	12.31	1 -7.01	-57%
	Welink CPO	13.05	-7.75	-59%

Table II : Shopee vs Seller CPO (based on seller's survey)

	# of sellers				CPO of the Cheaper seller (THB)		
	Total	Shopee CPO Not Cheaper	Shopee CPO Cheaper	*% that Cheaper*	Average Seller CPO	Average Shopee CPO	Avg.saving per order
A Fee without buffer (True cost)							
Total	**421**	**120**	**301**	***71%***	**12.71**	**5.20**	**(7.51)**
With Rent	179	17	162	*91%*	16.01	5.07	(10.94)
Without Rent	242	103	139	*57%*	8.86	5.35	(3.51)
B Fee with buffer (Proposed rate card)							
Total	**421**	**151**	**270**	***64%***	**13.59**	**5.76**	2 **(7.83)**
With Rent	179	28	151	2 *84%*	16.83	5.72	(11.11)
Without Rent	242	123	119	*49%*	9.48	5.81	(3.67)

Key highlights:

1. Compared to other fulfillment services, Shopee's new rate card is 60% cheaper based on the platform's weight distribution, helping sellers save an average of 8 THB per order.

2. Based on 421 sellers own fulfillment from the survey, 84% of sellers currently paying rent will find our new rate card more cost-effective, while about half of sellers without rent will also benefit from lower costs. The estimated savings per order is also around 8 THB.

Note: no inbound cost included in the initial stage; based on platform's size distribution

Current-THCB LFF 2025 Target Setting
Local CB team in discussion with CN LFF team on further uplift the TH WH SBS ADO in 2025

250212 version

TH CB LFF		Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
		Actual	MTD Actual	Target	Target	Target	Target	Target	Target	Target	Target	Target	Target
ADO	Total LFF	127,308	123,543	122,712	123,744	142,314	155,850	163,956	170,364	179,064	184,237	195,399	203,201
	TH WH	12,379	10,233	14,710	16,551	19,905	22,403	24,426	25,645	26,438	26,916	28,522	29,508
	MP Sellers	9,800	9,389	11,934	12,982	14,964	16,144	17,425	18,506	19,157	19,492	20,950	21,788
	- CN	8,420	8,277	10,542	12,141	13,875	14,813	15,856	16,741	17,264	17,542	18,700	19,402
	- KR	1,380	1,112	1,392	841	1,089	1,331	1,569	1,765	1,893	1,950	2,250	2,386
	Choice	2,580	844	2,776	3,569	4,941	6,259	7,001	7,139	7,281	7,424	7,572	7,720
	- SCS	2,342	737	2,658	3,390	4,760	6,073	6,814	6,950	7,089	7,231	7,376	7,523
	- Lovito	238	107	118	178	181	186	187	189	192	193	196	197
	NN WH	16,965	16,423	16,466	20,106	26,486	32,286	35,832	36,869	37,729	38,452	39,695	40,667
	MP Sellers	5,588	4,110	5,360	5,831	6,721	7,251	7,826	8,312	8,604	8,755	9,409	9,786
	- CN	5,588	4,110	5,360	5,831	6,721	7,251	7,826	8,312	8,604	8,755	9,409	9,786
	Choice	11,377	12,313	11,106	14,275	19,765	25,035	28,006	28,557	29,125	29,697	30,286	30,881
	- SCS	11,052	11,863	10,632	13,561	19,042	24,293	27,256	27,801	28,357	28,925	29,503	30,093
	- Lovito	325	450	474	714	723	742	749	756	767	773	783	787
	3PF	97,964	96,887	91,536	87,087	95,923	101,162	103,698	107,849	114,897	118,869	127,182	133,026
	- CN	97,675	96,623	91,194	86,663	95,473	100,694	103,234	107,385	114,400	118,364	126,617	132,453
	- KR	289	264	342	424	450	468	464	464	497	505	565	573

Under discussion today

TH propose to further uplift TH WH MP SBS ADO by dec 2025 via offering :

A 5% base com waiver dedicate for TH WH SBS seller vs CB 3PF seller (SHP CB WH base com 1% vs CB 3PF 6%)

B Cheaper WH rate card vs current other legit WH 3PL

A

For Discussion: Local is subsidizing $0.56 per order by covering 5% of the commission fee for SBS sellers, making sellers benefit $0.21 per order by using SBS.

		CB SBS	3PF
Platform view	ADO (Jan)	9,312	93,760
	ADG (Jan)	$97,283	$875,100
	1 Commission Fee (Effective in Mar'25)	1.07%	6.42%
	PC2	**-$54,703**	**$682,399**
	PC2%	**-1.67%**	**3.53%**
Seller view	(A) Avg. Cost Saving/Order from Commission Fee Discount	$0.56	
	(B) Seller's Avg Fulfillment CPO	$0.35	$0.60
	2 (B-A) Seller Net Expenditure	-$0.21	

Key Highlights:

1. Shopee offers a commission discount of approximately 5% for sellers that use SBS starting from March 2025.
2. Comparing cost savings that sellers get from the commission discount with the Cost per Order (CPO), sellers gain benefit from using SBS at approximately USD 0.21 per order while, they need to pay approximately USD 0.6 per order when using 3PF.

B

For Discussion: CB FBS's current fulfillment rate card is more cost-effective for sellers compared to other legit TH 3PF.

Size	Details	Handling Fees (Per order)					
		CB SBS		3PF			
				J&T		WeLink	
1 XSmall	<50g, <=15cm	THB	9	THB	20	THB	15
Small	50g - 1kg, <=25cm	THB	10				
Standard	1kg - 5kg, <=50cm	THB	13				
Large	5kg - 10kg, <=100cm	THB	35	THB	30	THB	19
Bulky	>10kg, >100cm	THB	120	THB	40	THB	34
	>25kg, >100cm					THB	48

Note: Average items per order is 2

Key Highlights:

1 CB SBS's current fulfillment rate card is more cost-effective for sellers compared to 3PF in XS - standard size.

From CN LFF Team: CN SBS 2025 Target adjustment discussion- CN CB simulated a new version of THWH ADO from 19K to 33.9K by 25'Dec with certain support from local

Key resources and initiatives needed		New SKU	Existing SKU	TTL ADO
Current ADO target for 25'Dec		6,624	12,326	18,950
Incremental	1 (+) Handling fee decrease	7,848	628	8,476
	(+) Upgraded incentives	5,088	/	5,088
	(+) Commission gap between FBS and 3PF/SLS	3,695	/	3,695
	(+) Shopee sponsors VAS fee	2,071	/	2,071
	(+) Loosen large and bulky restriction	1,681	/	1,681
	(-) Existing SKU decay adjustment	/	-6,051	-6,051
Simulated ADO for 25'Dec		27,008	6,903	33,910

Key Highlights:

1. Based on our seller communication results and model simulation with the local version FBS rate card, CN CB simulated the CBWH ADO to grow from 19K to 33K by Dec 2025, under the following conditions:
   - **Handling fee decrease:** benchmark local FBS rate card for top sellers, less than half of current CN CB rate card
   - **Upgraded incentives:** extend FBS RVP incentive to top 3PF sellers, provide 3 month commission waive for all new FBS sellers
   - **Remain current commission** gap between FBS and 3PF/SLS
   - **Shopee sponsors VAS fee:** pick up from 3PF, unload cargo and relabeling, etc.
   - **Loosen bulky inbound restriction**
2. Despite the above offerings, some 3PF sellers remain **unconvertible or only partially convertible** mainly due to **seller-owned warehouses, multi-platform operations, or cannot meet licensing requirements(TISI, FDA, IP, etc.).**

[Backup]- LFF Feb MTD Performance update- Total LFF MOM +0.65%, with RR at 113% to target, mainly driven by 3PF sellers. THWH MTD ADO 9k, RR 81%; Local CB team focus on further enlarge THWH ADO in 2025

ADO As of 23 Feb

TH		Jan	Feb			
		Actual	Target	MTD Actual	MOM	RR
MP	Total MP	108,841	100,876	110,386	1.42%	109.43%
	1 SBS	14,842	17,054	13,499	-9.05%	79.15%
	-THWH	9,312	3 11,524	9,389	0.83%	81.47%
	CN	8,092	10,333	8,277	2.29%	80.10%
	KR	1,220	1,191	1,112	-8.85%	93.37%
	-NNWH	5,530	5,530	4,110	-25.68%	74.32%
	CN	5,530	5,530	4,110	-25.68%	74.32%
	3PF	93,999	83,822	96,887	3.07%	115.59%
	CN	93,760	83,565	96,623	3.05%	115.63%
	KR	239	257	264	10.46%	102.72%
SCS	2 Total SCS	13,397	7,860	12,600	-5.95%	160.31%
	SCS - THWH	2,393	1,572	737	-69.20%	46.88%
	SCS - NNWH	11,004	6,288	11,863	7.81%	188.66%
LVT	Total LVT	508	396	557	9.65%	140.66%
	LVT - THWH	243	79	107	-55.97%	135.44%
	LVT - NNWH	265	317	450	69.81%	141.96%
Total LFF		122,746	109,132	123,543	0.65%	113.21%

Key Highlights:

1 **MP SBS performance update**

Total SBS MOM -9%, with MTD ADO RR at 79%, missing the target mainly due to a CN seller seasonal fashion products downturn and CNY impact, OOS from inbound delays and a slowdown in new SKU uploads.

2 **SCS LFF performance update**

Total LFF MOM -6%,mainly impacted by THWH underperformance due to OOS. The replenishment plan was adjusted based on P&L considerations.

3 **SBS THWH performance**

Total SBS THWH MOM +0.83%, with 81% RR to target. We have high expectations moving forward after the 3PF commission fee increase.

[Backup] THCB MP LFF Local/NN WH Split

Area	Model	Key Metrics	TH-NN								TH-Local							
			W0	W-1	W-2	W-3	W-4	WoW	MTD	MoM	W0	W-1	W-2	W-3	W-4	WoW	MTD	MoM
Commercial	Total LFF	LFF ADO	3,447	3,820	4,304	5,602	5,236	-9.7%	4,109	-25.6%	8,111	8,662	9,099	11,140	8,895	-6.4%	9,389	0.8%
		ADO of CB MP (excl Choice)	349,817	360,046	359,714	389,068	359,886	-2.8%	370,273	-4.5%	349,817	360,046	359,714	389,068	359,886	-2.8%	370,273	-4.5%
		ADO% of CB MP	1.0%	1.1%	1.2%	1.6%	1.5%	-0.1pp	1.1%	-31.5%	2.3%	2.5%	2.6%	3.2%	2.5%	-0.2pp	2.5%	13.5%
		ADO RR	-	-	-	-	-	-		0.0pp	-	-	-	-	-	-		0.0pp
		ADO% vs Target	-	-	-	-	-	-		0.0pp	-	-	-	-	-	-		0.0pp
	SBS	ADO	3,447	3,820	4,304	5,602	5,236	-9.7%	4,109	-25.6%	8,111	8,662	9,099	11,140	8,895	-6.4%	9,389	0.8%
		ADO% of CB MP	1.0%	1.1%	1.2%	1.4%	1.5%	-0.1pp	1.1%	-0.3pp	2.3%	2.4%	2.5%	2.9%	2.5%	-0.1pp	2.5%	0.1pp
		ADO Runrate	-	-	-	-	-	-	74.3%	-38.1pp	-	-	-	-	-	-	81.5%	0.4pp
		ADO% vs Target	-	-	-	-	-	-	78.0%	-28.9pp	-	-	-	-	-	-	86.5%	8.6pp
		OOS ADO Impact (SLS only)	2,191	2,330	2,146	2,217	1,967	-6.0%	2,287	-15.1%	1,097	1,171	1,108	1,016	948	-6.3%	1,173	12.3%
		SKU Efficiency	0.5	0.5	0.6	0.7	0.7	-4.8%	0.6	-20.8%	1.6	1.6	1.7	2.0	1.6	-5.8%	1.8	2.9%
		# of SKUs (with L30D ADO	7,025	7,411	7,721	8,000	7,971	-5.2%	7,423	-6.1%	5,222	5,254	5,386	5,525	5,458	-0.6%	5,307	-2.0%
	...Qualified 3PF	ADO	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
		ADO% of CB MP	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
		# of SKUs (with L30D ADO	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	...Unqualified 3PF	ADO	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
		ADO% of CB MP	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
		# of SKUs (with L30D ADO	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Inventory Health	SBS	Blackstock Qty (% of Inv)	2.2%	21.4%	17.7%	13.7%	13.7%	-19.2pp	5.4%	-10.0pp	21.7%	22.4%	24.2%	23.3%	25.6%	-0.7pp	22.8%	-5.0pp
		...Newly Qualified Qty (%)	0.3%	3.1%	2.5%	1.7%	2.2%	-2.8pp	0.8%	-1.1pp	1.5%	1.0%	3.2%	1.4%	2.3%	0.5pp	1.5%	-0.1pp
		...Cleared Qty (%)	0.0%	0.1%	0.0%	0.0%	0.0%	-0.1pp	0.0%	-0.2pp	0.8%	0.0%	0.0%	0.0%	0.0%	0.8pp	0.8%	0.5pp
		Aging >120D (% of Inv)	Pending BI fix															
		Coverage Days	56.1	38.2	41.7	49.1	40.9	47.0%	52.4	47.1%	64.6	62.8	58.8	63.3	64.9	2.9%	62.0	11.7%
PnL	SBS	CB Item rebate %	0.6%	0.7%	0.8%	0.7%	0.7%	-0.1%	0.7%	0.1%	0.7%	1.2%	1.1%	1.5%	1.5%	-0.4%	1.1%	0.0%
		Clearance Sales Item rebate	-	-	-	-	-	-		0.0%	1.2%	1.4%	1.1%	1.2%	1.3%	-0.2%	1.2%	0.2%
		CB CPO	$0.84	$0.85	$0.85	$0.87	$0.84	-1.0%	$0.88	6.8%	$1.75	$1.97	$1.73	$2.13	$1.93	-11.2%	$1.97	14.4%
		Clearance sales CPO	-	-	-	-	-	-			$2.17	$2.58	$2.09	$2.61	$2.42	-16.1%	$2.47	12.2%

[Backup] THCB SCS LFF Local/ NNWH Split

Area		Metrics	TH-CNN									TH-Local								
			W0	W-1	W-2	W-3	W-4	WoW	MTD	M-1	MoM	W0	W-1	W-2	W-3	W-4	WoW	MTD	M-1	MoM
Commercial		CN SCS LFF ADO	13,457	8,007	11,894	9,284	9,746	68.1%	10,911	11,002	-0.8%	539	992	2,112	1,995	2,153	-45.7%	915	2,393	-61.8%
		LFF ADO% of SCS	25.8%	14.4%	18.7%	15.5%	16.3%	11.4pp	19.5%	19.0%	0.5pp	1.0%	1.8%	3.3%	3.3%	3.6%	-0.7pp	1.6%	4.1%	-2.5pp
		LFF ADO RR	-	-	-	-	-	-	197.1%	92.9%	104.2pp	-	-	-	-	-		66.1%	54.6%	11.5pp
		LFF ADO% RR	-	-	-	-	-	-	110.8%	78.3%	32.5pp	-	-	-	-	-		37.2%	46.0%	-8.9pp
		# of SKUs	5,628	4,393	5,236	4,994	5,028	28.1%	5,004	5,429	-7.8%	528	664	851	1,002	1,049	-20.5%	620	1,110	-44.1%
Inventory Health		Blackstock Qty	28,850	19,963	16,127	21,970	22,200	44.5%	23,744	21,142	12.3%	12,037	12,014	10,641	15,457	21,729	0.2%	11,945	18,928	-36.9%
		Blackstock Qty (%)	10.4%	13.1%	7.7%	11.6%	11.6%	-2.7pp	11.3%	9.4%	1.9pp	21.3%	19.4%	14.6%	19.8%	27.7%	1.9pp	19.8%	22.5%	-2.7pp
		...Existing Qty (%)	Pending SCS									Pending SCS								
		...Newly Qualified Qty (%)																		
		...Existing Cleared Qty (%)																		
		Coverage Days (Reg View)	18	10	13	12	12	80.9%	14	14	-2.0%	18	16	17	17	17	10.6%	17	17	1.2%
		Coverage Days (SCS View)	15	9	12	12	15	59.5%	12	15	-15.5%	16	22	21	18	17	-25.0%	19	17	8.5%
Clearance PnL		Blackstock Cost ($)	Pending SCS									Pending SCS								
Order % Gap Tracking																				
LFF Qualified		ADIS Criteria	1									1								
LFF Qualified		LFF ADO%	86%	85%	85%	82%	84%	0.4 pp	85%	81%	4.8 pp	86%	85%	85%	82%	83%	0.4 pp	85%	81%	4.8 pp
Actuals		LFF ADO%	27%	16%	22%	19%	20%	10.7 pp	21%	19%	2.2 pp	27%	16%	22%	19%	20%	10.7 pp	21%	4%	17.0 pp
Gap vs Actuals		LFF ADO%	59%	69%	63%	64%	64%	-10.3 pp	67%	62%	5.1 pp	59%	69%	63%	64%	63%	-10.3 pp	66%	77%	-10.2 pp
Gap Breakdown	Time Lag	Total	47%	48%	46%	45%	43%	-0.1 pp	47%	43%	4.2 pp	51%	60%	55%	56%	54%	-9.5 pp	55%	52%	3.3 pp
		...Pending (more than 45D)	23%	22%	21%	20%	19%	0.3 pp	22%	19%	2.9 pp	24%	26%	24%	24%	23%	-1.8 pp	25%	22%	2.7 pp
		...Pending (less than 45D)	5%	5%	5%	5%	5%	0.0 pp	5%	5%	0.0 pp	5%	5%	5%	5%	5%	-0.1 pp	5%	5%	0.0 pp
		...Ordering	20%	20%	20%	20%	19%	-0.4 pp	20%	19%	1.3 pp	21%	29%	26%	27%	26%	-7.6 pp	25%	25%	0.7 pp
		...Shipping	0%	0%	0%	0%	0%	0.0 pp	0%	0%	0.0 pp	0%	0%	0%	0%	0%	0.0 pp	0%	0%	-0.1 pp
	SKU Fit	Total	0%	0%	1%	0%	0%	0.0 pp	0%	0%	0.1 pp	1%	1%	1%	1%	1%	0.0 pp	1%	1%	0.1 pp
		...Supplier reject	0%	0%	0%	0%	0%	0.0 pp	0%	0.1%	0.0 pp	0%	0%	0%	0%	0%	0.0 pp	0%	0.1%	0.0 pp
		...Shelf Life or Seasonal items	0%	0%	0%	0%	0%	0.0 pp	0%	0.2%	0.0 pp	0%	0%	0%	0%	0%	0.0 pp	0%	0.2%	0.0 pp
		...License needs	0%	0%	0%	0%	0%	0.0 pp	0%	0.1%	0.0 pp	0%	0%	0%	0%	0%	0.0 pp	0%	0.3%	0.1 pp
	Inventory Issues	Total	13%	24%	19%	21%	21%	-10.3 pp	19%	17.6%	1.4 pp	10%	10%	9%	9%	8%	-0.5 pp	10%	7.7%	2.5 pp
		...LFF OOS (fulfiled via SLS)	11%	20%	16%	18%	18%	-9.5 pp	16%	15.4%	0.6 pp	10%	10%	9%	9%	8%	-0.3 pp	10%	7.3%	2.6 pp
		...Bundle Deal + other system issues	3%	3%	3%	3%	2%	-0.9 pp	3%	2.2%	0.8 pp	0%	0%	0%	0%	0%	-0.1 pp	0%	0.4%	-0.1 pp

[Backup] THCB LVT LFF Local/ NNWH Split

Area	Metrics	TH-CNN									TH-Local								
		W0	W-1	W-2	W-3	W-4	WoW	MTD	M-1	MoM	W0	W-1	W-2	W-3	W-4	WoW	MTD	M-1	MoM
Commercial	CN LVT LFF ADO	389	438	685	664	38	-11.1%	482	265	82.0%	81	123	236	238	184	-33.8%	124	243	-49.1%
	CN LVT LFF ADGMV (USD)	$2,086	$2,318	$3,708	$3,326	$82	-10.0%	$2,575	$1,297	98.6%	$450	$705	$1,416	$1,327	$1,065	-36.2%	$710	$1,424	-50.1%
	CN LVT ADO	389	438	685	664	38	-11.1%	482	265	82.0%	81	123	236	238	184	-33.8%	124	243	-49.1%
	LFF ADO% of LVT	8.9%	8.8%	12.1%	10.9%	0.6%	0.1pp	9.4%	4.6%	4.8pp	1.9%	2.5%	4.2%	3.9%	3.1%	-0.6pp	2.4%	4.2%	-1.8pp
	LFF ADO Target	-	-	-	-	-	-	448	114	291.7%	-	-	-	-	-		112	838	-86.6%
	LFF ADO% Target	-	-	-	-	-	-	6.4%	1.7%	4.7pp	-	-	-	-	-		1.6%	12.3%	-10.7pp
	LFF ADO RR	-	-	-	-	-	-	107.6%	231.6%	-124.0pp	-	-	-	-	-		110.5%	29.0%	81.5pp
	LFF ADO% RR	-	-	-	-	-	-	147.0%	273.8%	-126.8pp	-	-	-	-	-		151.0%	34.3%	116.8pp
	ABS ($)	$5.4	$5.3	$5.4	$5.0	$2.2	1.2%	$5.3	$4.9	9.1%	$5.5	$5.7	$6.0	$5.6	$5.8	-3.6%	$5.7	$5.9	-2.1%
	# of SKUs	366	400	470	411	141	-8.3%	391	273	43.2%	63	70	75	89	105	-9.9%	67	103	-35.5%
Inventory Health	Blackstock Qty	899	812	797	882	970	10.8%	852	877	-2.8%	2,600	2,521	3,343	4,174	4,886	3.1%	2,594	4,214	-38.4%
	Total Inventory Qty	28,850	19,963	16,127	21,970	22,200	44.5%	23,744	21,142	12.3%	12,037	12,014	10,641	15,457	21,729	0.2%	11,945	18,928	-36.9%
	Blackstock Qty (%)	10.9%	8.5%	5.9%	6.4%	34.0%	2.4pp	9.2%	11.6%	-2.4pp	74.2%	69.4%	72.2%	78.0%	78.3%	4.7pp	71.8%	65.3%	6.5pp
	Blackstock Target	Pending LVT									Pending LVT								
	...Existing Qty (%)																		
	...Newly Qualified Qty (%)																		
	...Existing Cleared Qty (%)																		
	Coverage Days (Reg View)	15	19	34	54	13	-22.6%	18	27	-33.4%	39	35	41	40	37	10.2%	37	35	6.4%
	Coverage Days (SCS View)	19	16	18	21	10	19.1%	17	17	2.5%	58	45	52	53	47	29.6%	50	50	-0.4%
Clearance PnL	Blackstock Cost ($)	Pending LVT									Pending LVT								

CNCB SLS CC Situation Discussion

[TH landway tax summary]Propose to remove the Choice discount from Mar 2025(11.6M USD) to to mitigate the tax losses (~12.5M USD) so as to avoid SLS P&L huge impact

Background:

1. The grey CC channel increased the tax rate to ~8.7% ABS which is higher than the official announced 7% tax rate from Feb if counting the tax ops cost in the overall tax cost.
2. The white CC is still in the uncertain status and the total cost will be higher than the As is grey channel. Also, the white CC channel requires the SKUs certificate like TISI,FDA.Thus, we plan to continue using the grey channel, with **~12.5 M USD tax losses in FY25.**
3. Shopee rate card is the same with TK's, and it is competitive than LZD global plus rate card and LZD standard rate card, but increasing the rate card will affect the price competitiveness as well as the ADO.

Proposal:

- To mitigate the P&L huge impact, the preferred solution is to **remove the Choice shipping fee discount from Mar(11.6M USD), so there is only ~0.9M USD losses left for FY25, for which we will monitor the tax policy change and if the tax loss situation can be recovered or improved.**

TH tax summary for (for LVG)		
Category	As is (grey CC)	White CC 2
Tax cost (usd/pc)	0.43(**6.7% ABS**)	0.45(**7% ABS**)
Tax ops cost(usd/pc)	0.13(2%)	TBC(should be higher than 0.13)
1 Overall tax cost (usd/pc)	0.56(**8.7% ABS**)	0.58+(**>8.7% ABS TBC**)
Cost comparison	**Low**	**High**
Lead time (days)	~0.3-0.4	~0.3-0.4
Certainty	**Confirmed**	**TBC for Tax ops cost**
Restrictions	**No restriction**	**Need certificate(e.g. TISI,FDA)**
Tax losses in FY 25 (usd)	**12.5M** 2	**14.2M+(TBC)**
Choice discount from Mar	**11.6M**	**11.6M**

LH+CC Cost breakdown comparison		
Cost type	**Grey CC**	**White CC**
LH +Export CC(usd/pc)	**0.13**	0.13
Import CC ops (usd/pc)(incl.tax ops cost 0.13)	**0.37**	0.37+TBC
Import CC VAT (usd/pc)	**0.43**	0.45
Overall (w/o VAT)(usd/pc)	**0.50**	0.50+TBC
Overall (w/ VAT)(usd/pc)	**0.93**	0.95+TBC

3 Rates	Zone A			Zone B			Zone C			Overall		
Platform	**SHP**	**LZD Standard**	**LZD Global Plus**	**SHP**	**LZD Standard**	**LZD Global Plus**	**SHP**	**LZD Standard**	**LZD Global Plus**	**Shopee**	**LZD Standard**	**LZD Global Plus**
ESF	28	29	29	35	39	39	79	89	89	33	36	36
Hidden Fee	21	50	25	18	43	22	23	55	27	19	46	23
ASF	49	79	54	53	82	61	102	144	116	52	82	59
ASF SHP vs LZD Standard	**-38%**			**-35%**			**-29%**			**-36%**		
ASF SHP vs LZD Global plus	**-8%**			**-12%**			**-12%**			**-11%**		

Note: a: weight projection: 0.21kg/pc. ABS: 6.4usd/pc; b: Choice discount is based on the last budget submission ASF and choice order projection

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Note :The rate is based on SLS actual parcel weight allocation in 2025 Jan

[Backup][TH landway tax summary] P&L impact projection for FY25 due to tax losses

Solution : Combine the Tax cost and tax related cc cost as Tax cost, not book in CC cost (updated on 20240224 based on the Feb budget submission)													
	Actuals	Projections	Projections	Projections	Projections	Projections	Projections	Projections	Projections	Projections	Projections	Projections	FY25
Month	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	
(+) Tax Revenue	$3,311,207	$3,476,200	$3,693,096	$3,456,036	$3,492,175	$3,700,688	$3,889,398	$3,842,618	$3,711,847	$3,751,369	$3,668,611	$3,700,399	$43,693,644
(-) Tax Cost	$3,021,956	$4,333,532	$4,731,732	$4,631,943	$4,801,949	$4,823,927	$5,005,428	$4,985,913	$4,851,876	$4,989,950	$4,823,433	$4,909,923	$55,911,562
Tax Margin (2.69USD/KG)	$289,251(margin will not book in SLS	-$857,333	-$1,038,637	-$1,175,907	-$1,309,774	-$1,123,239	-$1,116,030	-$1,143,295	-$1,140,029	-$1,238,582	-$1,154,822	-$1,209,524	**-$12,507,172**
SLS Margin impact (Overall)	-	-$857,333	-$1,038,637	-$1,175,907	-$1,309,774	-$1,123,239	-$1,116,030	-$1,143,295	-$1,140,029	-$1,238,582	-$1,154,822	-$1,209,524	-$12,507,172
Choice ASF discount	$773,707	$752,569	$664,318	$900,613	$1,040,614	$1,105,589	$1,271,231	$1,294,888	$1,277,455	$1,344,448	$1,326,105	$1,395,441	**$11,620,702**
Current P&L (cost/revenue)	-	73.74%	70.57%	72.12%	72.72%	72.71%	72.84%	73.11%	73.50%	73.88%	74.81%	75.89%	
New P&L(cost/revenue)	-	82.21%	80.01%	83.38%	84.62%	82.80%	82.46%	83.05%	83.75%	84.81%	85.35%	86.79%	
SLS P&L Impact	-	**8.47%**	**9.44%**	**11.26%**	**11.90%**	**10.08%**	**9.63%**	**9.94%**	**10.25%**	**10.93%**	**10.54%**	**10.90%**	

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[Backup][TH landway tax summary]Alternative solution is to increase the shipping fee, which will reduce the price competitiveness and affect the ADO

Key highlights:

Even if the tax margin can be used to offset tax loss, the 2024 tax margin will be depleted by Aug 2025 to offset tax loss, leading to overall SLS margin loss, which means we will have SLS margin loss in anyway. SLS PnL% with GA will est. to rise by 9.03% to 81.17%, causing an estimated $1.02M margin loss per month.To mitigate the loss, we propose three solutions:

- **Proposal 1(Preferred):** Std channel 78004: 1 THB → 1.4 THB/10G (+40%). NNWH channel 78017: 0.3 THB → 0.4 THB/10G (+33.3%) due to its 16.24% ADO share in TH landway. Margin will be slightly higher than current without tax loss, which is 28.37% with a $3.63M gain per month.
- **Proposal 2:** Adopt **LZD Standard rate card for ASF**, which has higher ESF and hidden fees than SHP's current rates. Better margin impact than Proposal 1, with 30.71% margin% and $4.06M gain per month. It is a 47% increase on ASF for Std channel and 17% increase on ASF for NNWH channel.
- **Proposal 3:** Adopt **LZD Global Plus rate card for ASF**, which still has higher ESF and hidden fees than SHP's current rates. Margin is lower than current without tax loss impact, with 24.62% margin% and $3.00M gain per month, which still has a $156k margin loss/month compare to current. It is a 17% increase on ASF for Std channel and 9% increase on ASF for NNWH channel.

TH ASF rate card Proposal Simulation

Scenario Simulation	2025 monthly PnL without tax loss with Jan data	will be-est. 2025 monthly PnL with tax loss	Proposal 1	Gap btw Proposal 1 & will be	Proposal 2	Gap btw Proposal 2 & will be	Proposal 3	Gap btw Proposal 3 & will be
Est.ADO	277,322	277,322	277,322	-	277,322	-	277,322	-
Est. ASF(USD)	1.36	1.36	**1.54**	0.18	**1.59**	**0.23**	**1.46**	**0.10**
Est. CPO with GA include tax loss	0.98	1.10	1.10	0.00	1.10	0.00	1.10	0.00
Est. SLS P&L% with GA	72.14%	81.17%	**71.63%**	-9.53%	**69.29%**	**-11.88%**	**75.38%**	**-5.79%**
Est. Margin % with GA	27.86%	18.83%	**28.37%**	9.53%	**30.71%**	**11.88%**	**24.62%**	**5.79%**
Est. Margin with GA per month(USD)	3,150,880	2,130,169	**3,630,228**	**1,500,059**	**4,063,921**	**1,933,752**	**2,995,120**	**864,951**

Proposal 1: 78017(NNWH)

Zone	Weight	A	B	C
ESF	Flat	22	29	79
Hidden fee	0g - 10g	0.4 (current 0.3)		
	10g - 20000g	0.4 per 10g (current 0.3 per 10g)		
ASF	0g - 10g	22.4 (current 22.3)	29.4 (current 29.3)	79.4 (current 79.3)
	10g - 20000g	0.4 per 10g (current 0.3 per 10g)		

Proposal 1: 78004(Standard)

Zone	Weight	A	B	C
ESF	Flat	23	36	79
Hidden fee	0g - 10g	1.4 (current 1)		
	10g - 20000g	1.4 per 10 g (current 1 per 10 g)		
ASF	0g - 10g	24.4 (current 24)	36.4 (current 37)	79.4 (current 80)
	10g - 20000g	1.4 per 10g (current 1 per 10g)		

Proposal 2/3 78017(NNWH)

Zone	Weight	A	B	C
ESF	**match with LZD Standard (Proposal 2)/LZD Global Plus(Proposal 3) ASF** and apply to our current SHP NNWH discount compare to std channel. 47% increase on ASF for Proposal 2; 9% increase on ASF for Proposal 3.			
Hidden fee				
ASF				

Proposal 2/3: 78004(Standard)

Zone	Weight	A	B	C
ESF	**match with LZD Standard (Proposal 2)/LZD Global Plus(Proposal 3)** ASF. 17% increase on ASF for Proposal 2; 8% increase on ASF for Proposal 3;			
Hidden fee				
ASF				

Regional SSP Alignment Update

Reg SSP 2025Q1 proposed to set easier targets but lower reward to encourage better sellers' participation and with 1% increase in GMV coverage, the budget is 1.5x higher than Q4.

Program Period		Mar 2025 and Q2 2025 Proposal	Q4 2024 Actual
Target Seller		CB + CNLS sellers with 4.48% GMV coverage	CB + CNLS sellers with 3.61% GMV coverage
KPI	All KPI pass rate by GMV	• Expected pass rate 49% (Tier 1: 45%, Tier 2: 3%, Tier 3: 1%)	• October pass rate 42.1% (Tier 1: 41.7%, Tier 2: 0.4%, Tier 3: 0%) • November pass rate 18% (Tier 1: 14.9%, Tier 2: 3.0%, Tier 3: 0.1%) • December pass rate 37.7% (Tier 1: 37.0%, Tier 2: 0.6%, Tier 3: 0.1%)
	KPI 1: NMV target	• Target Buffer 10% on top of platform growth • Achievement Tier Tier 1: 100-115% Tier 2: 115-130% Tier 3: 130-160%	• Target Buffer 17-20% on top of platform growth • Achievement Tier Tier 1: 100-120% Tier 2: 120-140% Tier 3: 140-180%
	KPI 2: Investment	• Additional %Take Rate 0.5-1.5% for Tier 1-3	• Additional %Take Rate 1-2% for Tier 1-3
	KPI 3: Price Comp	• Assumed 20% pass rate	• 18% pass rate (not hard criteria)
Reward	Commission cashback	• Pay on the lowest achievement tier between KPI 1 and KPI 2 • 0.5-1.5% to full NMV for Tier 1-3 • 125k USD, capped at 20k per GGP	• Pay on the lowest achievement tier between Region NMV target and KPI 2 • 1-2% to full NMV for Tier 1-3 • Avg 75k USD per month, cap at 10k per GGP (8 GGP hit max cap in Q4) October: 18 GGP, 142k USD November: 18 GGP, 45k USD December: 13 GGP, 39k USD
	Ads credit bonus (new)	• On top of KPI 1&2, sellers will get 0.3% of NMV as Ads credit bonus if they hit price comp target • 38k USD (capped at 5k per seller)	

[backup] Competitor practice: Tiktok provides highly attractive incentives to CN sellers, including Commission free, up to 2.6% GMV cash rebate, up to 50% ads/item rebate, and daily traffic resources

Basic Info			Mechanism		Program Operation	Remark	Resource
Competitor Platform	Seller Group	GGP Level/Shop Level	Target Setting	Incentive	Duration		
Tiktok	CB	GGP Level	1. Regional GMV target 2. Investment target	1. Commission free (effective immediately upon participation, up to 5% depends on commission rate) 2. Achieve investment target: Ads rebate/Item rebate (~8%)	Quarterly	The reward mechanism is divided into different tiers: 1) Achieve GMV target <50%: incentives will be suspended; 2) Achieve 50%-80% GMV targets: commission waiver only and will be no ads rebate & item rebate	美舟 Seller interview
Tiktok	CB	Shop Level	1. GMV target 2. Investment target	1. Achieve GMV target: Refund of ads rebate / item rebate 2. Achieve investment target: Refund 50% of the corresponding ads investment	Monthly	1. Each target corresponds to an incentive, which can be stacked. 2. The platform will track total advertising investment target, without breaking down into parts	卓士 Seller interview
Tiktok	CNLS	GGP Level	GMV Target	**EOY Incentive**: up to 2.6% Cash rebate **BAU Incentive**: 1. Vouchers 2. CFS 3. Traffic support 4. Influencer recommendation	Annually (Apr- Dec)	GMV targets will divide into 3 tiers, if achieve Tier 3 target: GMV GR 150%, will give 2.6% of GMV cash rebate	跃动创展 Seller interview

In Q4, TH SSP has 1.8% incremental GMV uplift with 3.4% CPIGMV using 240k USD per month. With 5% CPIGMV as benchmark, Regional SSP budget should be around 125k USD per month.

	TH					
M0	2024 Q3 <>	2024 Q4 <>	2024 Q4 10/1/2024	2024 Q4 11/1/2024	2024 Q4 12/1/2024	2025 Q1 1/1/2025
platform						
#shop	6,485,554	6,630,506	6,630,506	6,630,506	6,630,506	
GMV (M-1)	2,775,813,089	3,254,720,484	1,048,455,935	1,109,419,222	1,096,845,327	1,155,008,491
GMV actual	2,908,970,357	3,361,273,041	1,109,419,222	1,096,845,327	1,155,008,491	1,145,394,353
%GMV uplift	4.80%	3.27%	5.81%	-1.13%	5.30%	
same seller type						
#shop	7,217	5,267	5,267	5,267	5,267	
GMV (M-1)	687,412,575	1,119,937,136	368,363,695	377,140,079	374,433,363	
GMV actual	730,529,965	1,147,155,132	377,140,079	374,433,363	395,581,691	
GMV coverage	25.11%	34.13%	33.99%	34.14%	34.25%	
%GMV uplift	6.27%	1 2.43%	2.38%	-0.72%	5.65%	
join						
#shop	499	338	338	338	338	2,505
GMV (M-1)	382,329,689	127,422,425	41,536,482	42,687,985	43,197,957	392,413,734
GMV actual	400,978,663	132,802,922	42,687,985	43,197,957	46,916,980	396,937,336
GMV coverage	13.78%	3.95%	3.85%	3.94%	4.06%	5 34.66%
%GMV uplift	4.88%	1 4.22%	2.77%	1.19%	8.61%	
incremental uplift	-1.39%	1 1.79%	0.39%	1.91%	2.96%	1.79%
incremental GMV						2 7,114,120
payout (USD)	242,001	75,170	11,058	21,390	42,722	3 240,000
CPIGMV						3.37%
coverage per payout	1,657	1,767	3,860	2,020	1,098	1,654

	Reg					
	2024 Q3 <>	2024 Q4 <>	2024 Q4 10/1/2024	2024 Q4 11/1/2024	2024 Q4 12/1/2024	2025 Q1 1/1/2025
platform						
#shop						
GMV (M-1)	2,775,813,089	3,254,720,484	1,048,455,935	1,109,419,222	1,096,845,327	1,155,008,491
GMV actual	2,908,970,357	3,361,273,041	1,109,419,222	1,096,845,327	1,155,008,491	1,145,394,353
%GMV uplift	4.80%	3.27%	5.81%	-1.13%	5.30%	
same seller type						
#shop						
GMV (M-1)	279,061,886	388,090,391	125,769,476	131,287,806	131,033,109	
GMV actual	288,784,063	393,926,040	131,287,806	131,033,109	131,605,125	
GMV coverage	9.93%	11.72%	11.83%	11.95%	11.39%	
%GMV uplift	3.48%	1.50%	4.39%	-0.19%	0.44%	
join						
#shop						
GMV (M-1)	122,801,980	114,353,479	35,633,609	39,185,347	39,534,523	53,610,182
GMV actual	135,857,000	121,438,880	39,185,347	39,534,523	42,719,010	51,305,539
GMV coverage	4.67%	3.61%	3.53%	3.60%	3.70%	5 4.48%
%GMV uplift	10.63%	6.20%	9.97%	0.89%	8.05%	
incremental uplift	7.15%	4.69%	5.58%	1.09%	7.62%	4.69%
incremental GMV						2,515,588
payout (USD)	186,037	226,256	142,244	45,029	38,983	4 125,779
CPIGMV						5.00%
payout per coverage	730	537	275	878	1,096	426

1. For TH local SSP, Q4 incremental GMV uplift of program sellers vs same seller type (OS-MS, SKAM, ST-MS) is 1.79%.
2. Using incremental GMV uplift from 1) and actual GMV in Jan, we estimated that the TH local SSP program generates 7.1m USD incremental GMV per month.
3. With 240k USD (estimated from backtest Q4 data with Q1 seller list), the cost per incremental GMV (CPIGMV) for TH local SSP is 3.37%.
4. In the early stage, we can set CPIGMV for the Regional SSP program at 5% as benchmark. This results in estimated budget of 125k USD per month with 4.69% incremental GMV uplift.
5. In addition, the GMV coverage for the TH local SSP is around 7x higher than Regional SSP.

CN-CNLS KAM KPI-Price Comp KPI Setting Alignment

Current price comp. KPI definition lacks consistency across markets, propose to align price comp using [Net Price Competitiveness] for Q2' 25 CN CNLS KPI following Reg BD's OKR

Metrics			Q1'25 KPI Definition				
		Proposed (Reg BD OKR)	ID	MY	PH	TH	VN
Price Comp.	Compete against	Different across sites	TTS/LZD/TKP	TTS/LZD	TTS	TTS/LZD	*No KPI*
	Key Tracking points	Net Comp. %	Gross Comp. % 1	Net Comp. %	Valid bid. %	Pricing campaign nomination % approval rate, DDay and BAU	
	Tracking Indicators	% of SKUs	% of SKUs 2	% of SKU ADO	NA	% of SKUs 3	
	Calculation	**Shop lvl:** [(# of cheaper SKUs) - (# of more expensive SKUs)] / (matched SKUs)	**Shop lvl:** (# of cheaper SKUs) / (# of matched SKUs)	**RM lvl:** [(# of cheaper SKUs ADO) - (# of more expensive SKUs ADO)] / (matched SKUs ADO)	**RM lvl (No longer track since Feb):** (# of valid SKUs) / (matched SKUs)	**RM lvl:** (# of price-approved SKUs) / (# of nominated SKUs)	

Current Situation:

1. Price comp. metrics lack consistency in tracking points & indicators across markets
2. Although not fully aligned, **ID and MY have a similar concept in price comp. tracking points (output/result-driven)**, monitoring the actual price advantage on SKU level vs. competitors
3. **However, TH tracks pricing campaign nomination % approval rate for price comp. KPI**

Proposal:

- **Adopt [Net Price Comp. %] and [% of SKUs] as the standardized price comp tracking points to measure CN CNLS RM KPI performance, aligning with Reg BD's OKR**
- Advantages of this approach:
  - Simplifies tracking uniformly; existing infrastructures across sites are nearly ready for implementation
  - Enhances platform level price comp. directly against competitors as it is counted from actual price advantages of SKUs

Reg Taobao SIP Program Update

Nicholas

Regional Gantt Chart - TH push started in late-Jan'25; SKU migration expected by EOM

#	Market	Task	Dependency	PIC	Status	Feb			Mar					Apr			
						10	17	24	3	10	17	24	31	7	14	21	28
a. Phase 1/2 (Pushing existing TB SHP sellers)																	
1.1	SG/MY	Seller Identification		SMT	Completed												
1.2		Marketing resource alignment		PMO/Local	Completed												
1.3		Pitching	1.1/1.2	SMT/SIP	Completed												
1.4		Marketing push	1.3	PMO/Local	In Progress												
1.5		Performance Tracking		PMO/Local	In Progress												
1.6		Additional sellers pitching		SMT	Completed												
1.7		SKU Migration		SMT	In Progress												
2.1	PH	Seller Identification		SMT	Completed												
2.2		Marketing resource alignment		PMO/Local	In Progress												
2.3		Marketing push	2.2	Local	In Progress												
2.4		Performance Tracking		PMO/Local	In Progress												
3.1	TH	Seller Identification		SMT	Completed												
3.2		Marketing resource alignment		PMO/Local	Completed												
3.3		Pitching	3.1/3.2	SMT/SIP	Completed												
3.4		SKU Migration	3.3	SMT/PMO	In Progress												
3.5		Marketing push	3.3	PMO/Local	In Progress												
3.6		Performance Tracking		PMO/Local	In Progress												
4.1	TW	Seller Identification		SMT	Completed												
4.2		Marketing resource alignment		PMO/Local	Completed												
4.3		Pitching	4.1/4.2	SMT/SIP	Completed												
4.4		SKU Migration	4.3	SMT/PMO	In Progress												
4.5		Marketing push	4.3	PMO/Local	In Progress												
4.6		Performance Tracking		PMO/Local	In Progress												
5.1	VN	Seller Identification		SMT	Completed												
5.2		Marketing resource alignment		PMO/Local	Completed												
5.3		Pitching	5.1/5.2	SMT/SIP	Completed												
5.4		SKU Migration	5.3	SMT/PMO	In Progress												
5.5		Marketing push	5.3	PMO/Local	In Progress												
5.6		Performance Tracking		PMO/Local	In Progress												

Highlights:

- **Marketing push**: Begun since late Jan'25; seller investment below target (show in later slides)
- **SKU migration:** To complete by end-Feb (expected +33K SKUs)

Nicholas

Taobao Feb MTD Performance - MTD ADO 4.7k (82% RR) ADG $60k (98% RR) due to SKU # under target

Feb MTD Performance(as of 18 Feb):

	TH				
	MTD	Target	RR	M-1	MOM
All sellers					
Universe Seller	164	/	/	164	/
Targeted Seller	89	/	/	89	0%
Program Seller	54	/	/	54	0%
Program Shop					
Total Shop #	113	/	/	113	0%
ADO	4,692	5,731	82%	4,999	-6%
ADG	$60,104	$61,616	98%	$56,957	6%
ABS	$13	$11	119%	$11	12%
Live SKU	67,276	90,654	74%	65,250	3%
SKU Efficiency	6.97%	6.32%	110%	7.66%	-0.69%
PC2	$344	/	/	$1,325	-$981
PC2 %	0.5%	/	/	2.3%	-1.8%

Highlights:

- MTD ADO **4.7k** (MoM -6%, RR 82%); ADG $60k (98% RR), below target due to (1) SKU # below target (2) seller investment drop during CNY;
- **To ramp up:**
  - SKU mass migration tool expected to be deployed on 21 Feb, SKU # expected to +23K by end Feb
  - SMT WIP push seller compliance to gather more seller investment
- PC2 0.5% (-1.8% MoM due to higher platform PRM spending)

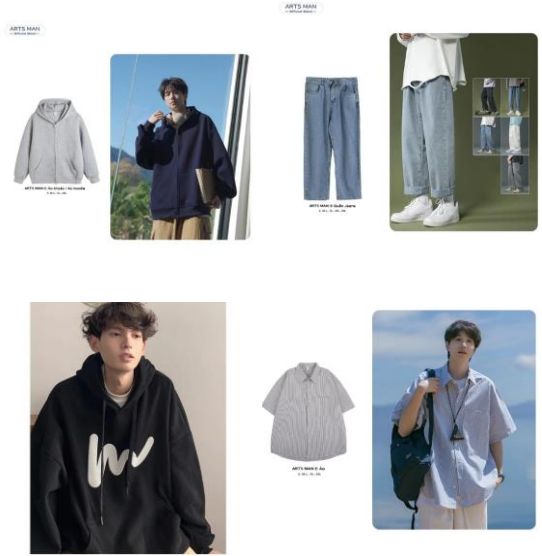
[Backup] Potential Listing - Example of listing in pipeline to be migrated

Women Clothes

Brand example: Semir, 黑色草莓，JNBY

Blend romantic elegance, bold streetwear, chic modernity, and bohemian charm

Men Clothes



Brand example: artsman,真维斯

Fashionable men clothes including hoodies, jeans, shirts etc.

Sports & Outdoors

Brand example:361 Degrees, 特步, Lining Women running shoes, Millennium Daddy Shoes, sports sandals and various styles of women support wear

Nicholas

Focus Sellers - TH ADO 313, MOM +5%, while Regional ADO 2.5K, MoM +24%

Background: *17 focus sellers (brand sellers) chosen* ***to build success cases for CN SMT team to acquire more TB sellers outside of SHP.*** *Some well-known brands such as 361 degrees, Anta, Lining, Balabala part of sellers*

#	GGP	Brand	Taobao L1 rank	TH ADO	MoM	Reg ADO	MoM	Reg Target	RR
1	晋江市京翰进出口贸易有限公司 - GGP	361 Degrees	8	30	-5%	358	26%	300	119%
2	厦门天邻缘电子商务有限公司 - GGP	特步	9	55	54%	392	33%	300	131%
3	泉州市跨远商贸有限公司 - GGP	马登	30	20	-8%	70	-10%	300	23%
4	揭阳市米果贸易有限公司 - GGP	xixitiao	98	107	-20%	200	-2%	300	67%
5	浙江森马电子商务有限公司 - GGP	Balabala/Semir	8	36	35%	221	9%	300	74%
6	保定白沟新城优上良品皮具店 - GGP	Auudre	65	1	564%	79	22%	300	26%
7	杭州肆橙科技有限公司 - GGP	artsman	40	0	-	195	-34%	300	65%
8	厦门安之意体育用品有限公司 - GGP	安踏	10	18	13%	697	89%	300	232%
9	广州黑色草莓电子商务有限公司 - GGP	黑色草莓	9	0	-	21	-20%	100	21%
10	厦门彤倩电子商务有限公司 - GGP	李宁	6	26	100%	119	29%	100	119%
11	广州翊诚电子商务有限公司 - GGP	Shuangxing	209	2	-30%	4	-21%	100	4%
12	广州市都市本源电子商务有限公司 - GGP	Vanwalk	117	3	-51%	32	58%	100	32%
13	武汉百盈多网络科技有限公司 - GGP	真维斯	32	0	-	0	38%	100	0%
14	杭州慧康华卓进出口贸易有限公司 - GGP	JNBY	208	0	-	0	-	100	0%
15	深圳虎威制衣有限公司广州分公司 - GGP	佐丹奴 Giordano	50	8	399%	182	44%	100	182%
16	百丽电子商务(上海)有限公司 - GGP	Staccato	21	6	3%	6	3%	100	6%
17	广州氛围科技有限公司 - GGP	Foxlover	137	1	-50%	7	-34%	100	7%
Total				**313**	**5%**	**2,583**	**24%**	**3,300**	**78%**

Highlight

- TH ADO 313, MOM +5%, while Regional ADO 2.5K, MoM +24%
- TH additional resources:
  - 1-2 CFS slots on DDAY
  - Item rebate for 25 SKUs for DDAY, 2DDAY, PAYDAY
  - Higher cap for Ads rewards

Thank you